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Japan IT Services

Implications of results at Salesforce/Snowflake – software as a means of boosting AI Rol

CITI'S TAKE

Salesforce and Snowflake held earnings calls at 06:00 Japan time on May 28. There were sharply contrasting market reactions: Salesforce's share price fell 0.6% in after-hours trade, while Snowflake's jumped 36%. Both companies stressed the AI-driven acceleration in software sales and their confidence in coexisting with AI. Their software is important for AI utilization as a tool providing data context to AI platforms. We think Rol derived from AI use will be a major discussion topic in the sector going forward. Uber has reportedly suspended the internal use of some AI tools due to low Rol (May 27, [Futurism](#)), but Snowflake said during its earnings call that its tools are necessary for improving Rol. As boosting AI Rol requires context, and Snowflake provides this context in the form of databases, we will be watching closely how its coexistence with AI plays out.

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Implications — Salesforce's Q1 sales and EPS beat consensus, but Q2 guidance had in-line sales and above-consensus EPS. The stock price remained largely flat as the outlook did not strongly exceed expectations. Snowflake's Q1 results and Q2 outlook both featured consensus-beating sales and EPS, causing the stock to rise 36% in after-hours trade. While Salesforce's stock performance was lackluster, we view the rise in Snowflake's share price as positive for the sector. We maintain our view that software replacement by AI is selective, and that SoR and DB tools providing essential databases for AI will not be replaced. Indeed, Snowflake announced a \$200mn partnership with OpenAI, and Salesforce stated that Anthropic's use of its products has increased 5x. At the same time, we think some replacement of business software such as KPI visualization tools will occur. As a result, stock selection will remain crucial.

AI and Rol — It is not currently possible to measure AI-derived Rol because installation is still in its early stages. However, Uber's CTO has indicated that the productivity gains from AI do not currently justify the costs (May 27, [Futurism](#)). AI operates on pay-per-use based on token consumption, meaning costs are prone to increase. Snowflake therefore discussed the need to use different AI models for different purposes during its earnings call. For example, it said the small model of France's Mistral suffices for note summarization, without needing Claude's Opus. Snowflake has built this task-appropriate AI differentiation into their tools. Improving AI Rol also requires clear background and instructions. Providing this background is the role of databases, making them essential tools for Rol improvement.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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